But if you want to be rich by world standards, you probably need to move at least a portion of your financial life overseas. We have already looked at this from an investment perspective. Now we will see what it can do for your tax strategy.

Foreigners have a big advantage. They can compound their money at lower tax rates. Tax rates in the emerging markets, generally, are much lower. In Russia, for example, the top marginal tax rate is only 13 percent. In Europe, tax rates are higher than those in the United States. France even imposes a "wealth tax."

But this is misleading. Europeans have much more flexibility as to how they organize their financial lives. A Frenchman who has a fortune or wants to build one can move out of the country. He has only to move himself to Brussels, for example, to dodge the French tax *fisc*. Then, taking the TGV to Paris gives him less of a daily commute than many people who live and work in LA or New York. Also, Europeans have a long history of using trusts and other tax-reducing strategies. We don't know, but our guess is that the typical Old Money family figured these things out decades ago—or it wouldn't still be an Old Money family!

Nor did an effective tax strategy require the European to remove himself to a godforsaken island far from civilized life. Until recently, London was perhaps the world's largest and most important tax haven. The United Kingdom did not tax residents on income that they brought in from outside the country. This, of course, attracted rich people and helped create the most dynamic financial industry in the world.

Again, Americans could not benefit from this or from any other substantial tax-saving opportunity. The U.S. tax law reaches out and puts its hands on our shoulders no matter where we are. Many are the schemes and scams developed to get around this problem. Some are probably even legal. Many more are probably illegal or simply so confusing that nobody wants to invest the time and effort to figure out what is going on. If you could, for example, set up a business with foreign ownership, you could get out of the U.S. system. Foreign-owned companies are not taxed by the United States unless they are doing business in the United States and thus are able to accumulate profits free of U.S. tax.